

No: HCJD/C-121
ORDER SHEET
LAHORE HIGH COURT
MULTAN BENCH, MULTAN
JUDICIAL DEPARTMENT

Case No.

Civil Revision No.707/2021

Syed Tahwer Hussain Rizvi

Versus

Syed Javed Ali Rizvi

S.No. of order/ Proceedings	Date of order/ Proceedings	Order with signature of Judge and that of Parties of counsel, where necessary.
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30.06.2021 Ch. Muhammad Ashraf Sandhu, Advocate for the petitioner.

Briefly stated facts of the case are that on 08.05.2020, the respondent, namely, Syed Javed Ali Rizvi instituted a suit for declaration against the petitioner; namely, Syed Tahwer Hussain Rizvi, with the averments that the former, from his own pocket, had purchased the property measuring 07 *marla* bearing *Khewat* No.28, *Khatauni* No.41 situated at *Mauza* Jamilabad, Tehsil City, District Multan (hereinafter “**the suit property**”), through registered sale deed No.17643 dated 14.11.2015 in the name of the petitioner and being real owner also raised construction over the same while the *status* of the petitioner is that of an ostensible purchaser/name lender, therefore, he has no concern whatsoever with the suit property. The learned trial court, *vide* order and decree dated 11.03.2021, rejected the plaint of the respondent’s suit, under Order VII, Rule 11 Code of Civil Procedure, 1908 (hereinafter “**CPC**”) on the preliminary legal objection taken by the petitioner that since the respondent himself claimed that the petitioner was a *benamidar* of the suit property holding the same on behalf of the respondent therefore, civil courts have no jurisdiction in terms of Section 43 of the *Benami Transaction (Prohibition) Act, 2017* (hereinafter “**Benami Act**”). On appeal preferred by the respondent, the finding of the trial court was reversed *vide* judgment dated 28.04.2021 and the learned appellate court below remanded the matter to the learned trial court for further proceedings in accordance

with law on the ground that order and decree dated 11.03.2021 have been passed on wrong premises while interpreting the scope of *Benami* Act. Hence, instant civil revision.

3. Learned counsel for the petitioner submits that in the suit instituted by the respondent, it has been clearly stated that the petitioner is a *benamidar* and holding the suit property on behalf of the respondent and in this view of the matter, the learned trial court has rightly rejected the plaint under Order VII Rule 11, CPC although the petitioner's stance is that he is the real owner of the suit property.

4. Arguments heard and record perused.

5. The kernel of the controversy falling for adjudication in the instant matter is the scope of the ouster of jurisdiction of civil court envisaged by the legislature in terms of Section 43 of *Benami* Act. Both the courts below have taken different, nay the opposite, view as regards the jurisdiction of civil court in the light of aim, object and scope of *Benami* Act. Hence, the instant matter is confined only to the interpretation of Section 43, which is purely a legal question; therefore, it is imperative for this Court to examine the intent of the legislature behind *Benami* Act and analyze the scheme thereof to render the opinion on the legal question involved in the instant matter.

6. The practice of a person purchasing property not in his own name but in the name of another has been prevalent in Indo-Pak Sub Continent since long. Reliance is placed on Ch. Gur Narayan and others v. Sheolal Singh and others (**AIR 1918 Privy Council 140**) and Bilas Kunwar v. Desraj Ranjit Singh And Ors. (**1915**) **ILR 37 ALL 557**). After partition, holding *benami* property also remained a common practice in this country and was generally considered as unobjectionable. Sometimes it was done without a purpose, but often with a purpose to screen the property from the creditors or to ward off claims of other members of the family. However, over the last few decades, this had also become a device for corrupt

segment of the society as means of concealing money or property to evade payment of proper taxes or to hide their ill-gotten money in the name of some fictitious person, or person who acts in connivance with the corrupt person to hide his property and it is for this reason that *Benami* Act has been promulgated by the legislature with the aim to check such corrupt practices.

7. The preamble to *Benami* Act recites that it has been enacted to prohibit *benami* transactions and the right to recover property held *benami* as well as for matters connected therewith or incidental thereto. A reading of *Benami* Act discloses that, no person shall enter into any *benami* transaction in terms of Section 3; it applies both to the person who lends his name and also to the real purchaser; however, this does not apply to a situation where a person purchases property for the benefit of, *inter alia*, his spouse or child etc., as envisaged under Section 2(8)(A)(b)(ii); entering into a *benami* transaction is declared to be an offence by virtue of Section 51 which is non-cognizable in terms of Section 57 and *Benami* Act disables the real owner from enforcing any right in respect of a property held *benami* or putting forward a similar defence; however, this disability does not apply where the person in whose name the property is held stands in a fiduciary capacity to the beneficiary. In addition to the above referred salient features, *Benami* Act also provides for and establishes authorities to exercise jurisdiction and initiate proceedings under the law. Section 15 provides for the authorities and their jurisdiction. The Initiating Officer, Approving Authority, the Administrator and the Adjudicating Authority, which are to exercise powers and perform functions conferred or assigned to them under *Benami* Act or in accordance with such rules as may be prescribed. Under Section 22 of the *Benami* Act, an Initiating Officer having a reasonable believe on the basis of information in his possession may issue a notice to person holding *benami*

property, recording reasons for issuance of such notice. In the meanwhile, if the Initiating Officer is of the opinion that the person in possession of such property may alienate the same during the period provided in the notice, he may pass attachment order with respect to such property for sixty days. In terms of Section 22 (4), the Initiating Officer on the basis of material available before him may continue the provisional attachment order made earlier or may revoke the same. Moreover, if provisional attachment order was not passed earlier under subsection (3) of Section 22, he may make it under sub-section (4) thereof on the basis of material available. Where the Initiating Officer has passed an attachment order on the basis of material available, he shall within 60 days of such order draw a statement of case and refer it to the Adjudicating Authority. The Adjudicating Authority after fulfilling *codal* formalities and in accordance with the procedure prescribed in Section 24 may either set aside the attachment order by holding that property is not *benami* or hold that such property is *benami* and confirm such attachment order made by the Initiating Officer. Any person aggrieved of the order of adjudicating Authority may prefer an appeal to the Tribunal under Section 44 of the *Benami* Act. The decision of the Tribunal is appealable before the High Court in terms of Section 47 of the *Benami* Act. Similarly, the offences triable under *Benami* Act may be tried by the Courts of Sessions designated as special court under Section 48 of the Act, 2017. Section 43 of *Benami* Act stipulates bar as to the jurisdiction of the civil courts in relation to any proceedings before the civil court. Section 43 reads as under:

“43. Bar of jurisdiction of Civil Courts.- No Civil Court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which any of the authorities, or the Tribunal is empowered by or under this Act to determine, and no injunction shall be granted by any Court or other forum in respect of any action taken or to be taken in pursuance of any power conferred by or under this Act.”

8. On the other hand, civil courts in terms of Section 9 of CPC are courts of ultimate and plenary jurisdiction and any suit of civil nature is to be tried by the civil courts unless jurisdiction is expressly or impliedly barred. It is well settled that any curtailment and/or ouster of jurisdiction of civil courts under some legislative instrument has to be construed strictly. This Court in *Hakam and others v Tassaduq Hussain Shah* (PLD 2007 LAH 261) held that the civil courts are courts of ultimate jurisdiction to try all suits of civil nature except the suits of which their cognizance is either expressly or impliedly barred and in such situations the ouster of jurisdiction of civil courts should not be lightly inferred or the lack of jurisdiction be assumed as a matter of course rather there should either be express provision in any law/statute, which debars and takes away the jurisdiction of such court, and the provision must be strictly construed and applied leaving no room for doubt that the jurisdiction of the civil courts has been ousted, or if the ouster is claimed on the basis of implication, the implication must be founded and adjudged on the touchstone that the forum or the tribunal created by the special law have been conferred with the exclusive jurisdiction to try the matter of a specific civil nature.

9. In the instant case, the petitioner raised a preliminary objection as to the maintainability of the suit instituted by the respondent and the learned trial court, without analyzing the scheme of *Benami* Act, rejected the plaint and dismissed the suit and interpreted Section 43 of *Benami* Act as if it is an absolute bar as to the jurisdiction of the civil courts in relation to any proceedings. Learned trial court has erred in not examining as to whether the dispute *qua* suit property falls under the purview of the term “*benami* transaction” as defined in clause (a) & (b) of Section 2(8)(A) or within the exclusion clause envisaged thereunder. Section 2(8)(A) is reproduced as follows:

“(8) **benami transaction**” means,-

(A) a transaction or arrangement-

(a) where a property is transferred to, or is held by, a person, and the consideration for such property has been provided, or paid by, another person; and

(b) the property is held for the immediate or future benefit, direct or indirect, of the person who has provided the consideration, except when the property is held by-

(i) a person standing in a fiduciary capacity for the benefit of another person towards whom he stands in such capacity

and includes a trustee, executor, partner, director of a company, agent or legal adviser, and any other person as may be notified by the Federal Government for this purpose; or

(ii) any person being an individual in the name of his spouse or in the name of any child or in the name of his brother and sister or lineal ascendant or descendant and the individual appearing as joint owner in any document of such individual and the consideration for such property has been provided or paid out of known resources of income of the individual; or.....” (*emphasis supplied*)

For applicability of *Benami* Act on a transaction, the property forming subject thereof must be held by a *benamidar* in terms of clause (a) and (b) of Section 2(8)(A) and not under the exclusion envisaged thereunder. Similarly, there must be some proceedings, triggered and initiated under *Banami* Act and/or matters, which any of the Authority or the Tribunal established thereunder are empowered to determine, in respect whereof the jurisdiction of civil courts is barred and not every

matter where the issue of *benami* comes into play can be said to be barred. In present case, admittedly, no proceedings have been initiated under Benami Act in respect of the suit property, which may attract application of Section 43. Similarly, to address the issue of maintainability of a suit before civil courts in terms of Section 43, it is from the pleadings of the parties and the issues framed therein, on case to case basis, which are to be the determining factors as to whether the matter agitated in a particular case falls within the ouster clause i.e., Section 43 or the exceptions thereof i.e., sub-clause (i) and (ii) of Section 2(8)(A)(b). In the instant case, two private persons who are admittedly related by kinship, have a dispute as to real ownership of the suit property, which may or may not fall under the purview of *benami* transaction as defined in Section 2(8) of *Benami* Act as the respondent has averred in the suit instituted for declaration against the petitioner by alleging that the suit property was purchased by the respondent in *favour* of the petitioner as the petitioner was brought up by the respondent, being his real paternal uncle, after the demise of the petitioner's mother and when the respondent has come to know of the fraud committed by the petitioner in the business of the respondent, the trust and confidence reposed by the respondent in petitioner/defendant has been shattered. The relationship between the parties, the element of trust reposed and pleaded mandates an examination in detail after recording evidence of both the parties so as to adjudicate whether the instant matter falls under the scope of *benami* transaction or the exclusion/exceptions envisaged under clause (i) & (ii) of Section 2(8)(A)(b) for which case has rightly been remanded to the learned trial court by the learned appellate court below *vide* impugned order.

10. Perusal of the record reveals another important and admitted position, which has been ignored by the learned trial court to the effect that, on 13.05.2020, the petitioner himself

has instituted a suit, for permanent injunction, against the respondent, titled “Syed Tehwar Ali Rizvi v. Syed Javed Ali Rizvi and others”, in respect of the suit property in which, admittedly, *status quo* order has been passed *vide* order dated 11.03.2021, surprisingly by the same learned court, which on the same day rejected the plaint in suit instituted by the respondent. The suit instituted by the petitioner is now, being proceeded after framing of the issues. Stance of the respondent *qua* ostensible ownership of the petitioner in respect of the suit property is clearly stated in the written statement filed by the respondent in the suit instituted by the petitioner. Therefore, even if it is assumed for a moment that the suit instituted by the respondent was not maintainable on the basis of Section 43 of the *Benami* Act, how the suit instituted, in respect of the same suit property, by the petitioner against the respondent, can be proceeded with where written statement of the respondent has raised the same plea that the petitioner is his *benamidar*. When confronted in this regard, learned counsel for the petitioner was unable to offer any plausible explanation or put forward any legal argument. Learned appellate court has rightly set aside the order dated 11.03.2021 passed, under Order VII Rule 11, CPC, by the learned trial court.

11. In view of the above, no exception can be taken to the legal opinion expressed by the learned appellate court below in terms of the impugned judgment. The instant Civil Revision is devoid of any merits and hence, **dismissed** in *limine*.

(Anwaar Hussain)
Judge

Approved for reporting

Judge

S. Zahid